

# **Clark County, Arkansas**

## **Regulatory Basis Financial Statements and Other Reports**

**December 31, 2011**

LEGISLATIVE JOINT AUDITING COMMITTEE

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House Chair  
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Senate Vice Chair  
**Rep. John W. Walker**  
House Vice Chair

# Arkansas



**Roger A. Norman, JD, CPA, CFE**  
Legislative Auditor

## LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

### INDEPENDENT AUDITOR'S REPORT

Clark County, Arkansas Officials and Quorum Court Members  
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2011, as listed in the table of contents. These financial statements are the responsibility of the County's management. Our responsibility is to express opinions on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinions.

As described more fully in Note 1(B and C), the County has prepared these financial statements using accounting practices prescribed or permitted by Arkansas Code, which practices differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material.

In our opinion, because of the effects of the matter discussed in the preceding paragraph, the financial statements referred to above do not present fairly, in conformity with accounting principles generally accepted in the United States of America, the financial position of Clark County, Arkansas, as of December 31, 2011, or the changes in its financial position or where applicable, its cash flows, thereof for the year then ended.

The financial statements referred to above do not disclose all the required information concerning deposit risks, which should be included in order to conform with the regulatory basis of accounting described in Note 1(C).

Further, in our opinion, except for the effects on the financial statements of the omission described in the preceding paragraph, the financial statements referred to above present fairly, in all material respects, the respective regulatory basis financial position of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of December 31, 2011, and the respective changes in the regulatory basis financial position, and the budgetary results for the general fund and road fund for the year then ended on the basis of accounting as described in Note 1(C).

As discussed in Note 1 to the financial statements, the County changed the classifications of its governmental fund balances on January 1, 2011.

In accordance with *Government Auditing Standards*, we have also issued our report dated November 28, 2012 on our consideration of the County's internal control over financial reporting and our tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

Our audit was conducted for the purpose of forming opinions on the accompanying regulatory basis financial statements. The accompanying supplementary information listed in the table of contents is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the regulatory basis financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, except for the effects on the supplementary information of the omission described above, the information is fairly stated in all material respects in relation to the regulatory basis financial statements as a whole.

Our audit was conducted for the purpose of forming opinions on the accompanying regulatory basis financial statements. The other information listed in the table of contents is presented for the purpose of additional analysis and is not a required part of the regulatory basis financial statements. Such information has not been subjected to the auditing procedures applied in the audit of the regulatory basis financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

DIVISION OF LEGISLATIVE AUDIT

A handwritten signature in dark ink, appearing to read "Roger A. Norman". The signature is fluid and cursive, with the first name "Roger" being more prominent.

Roger A. Norman, JD, CPA, CFE  
Legislative Auditor

Little Rock, Arkansas  
November 28, 2012  
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**Sen. Bryan B. King**  
Senate Chair  
**Rep. Kim Hammer**  
House Chair  
**Sen. Linda Chesterfield**  
Senate Vice Chair  
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House Vice Chair

# Arkansas



**Roger A. Norman, JD, CPA, CFE**  
Legislative Auditor

## LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

### REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING, COMPLIANCE AND OTHER MATTERS, AND OTHER ISSUES BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

Clark County, Arkansas Officials and Quorum Court Members  
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2011, and have issued our report thereon dated November 28, 2012. We issued an adverse opinion because the County prepared the financial statements using accounting practices prescribed or permitted by Arkansas Code, which differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material. However, with respect to the basis of accounting described in Note 1(C), our opinions on the general fund, road fund, and other funds in the aggregate were qualified because required disclosures were not made concerning deposit risks. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

#### Internal Control Over Financial Reporting

In planning and performing our audit, we considered the County's internal control over financial reporting as a basis for designing our auditing procedures for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the County's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of the County's internal control over financial reporting.

Our consideration of internal control over financial reporting was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control over financial reporting that might be significant deficiencies or material weaknesses and therefore, there can be no assurance that all deficiencies, significant deficiencies, or material weaknesses have been identified. However, as discussed below, we identified a certain deficiency in internal control over financial reporting that we consider to be a material weakness.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the County's financial statements will not be prevented, or detected and corrected on a timely basis. We consider the following deficiency to be a material weakness:

2011-1 To ensure the proper safeguarding of assets, financial accounting duties relating to initiating, receipting, depositing, disbursing, and recording transactions should be distributed among appropriate employees. The County officials, as specified in the Other Issues section of this report, did not segregate these duties to sufficiently reduce the risks of fraud or error and properly safeguard the County's assets, because of limited financial resources. We recommend that the financial accounting duties in each office be segregated among employees to the extent possible.

The County officials, as specified in the Other Issues section of this report, responded and indicated that their offices will segregate the duties relating to initiating, receipting, depositing, disbursing, and recording transactions to the extent possible with the current staffing levels.

As part of obtaining reasonable assurance about whether the County's financial statements are free of material misstatement, we performed tests of the County's compliance with certain provisions of the state constitution, laws, regulations, and contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

The County's response to the finding identified in our audit is described above. We did not audit the County's response and, accordingly, we express no opinion on it.

#### Other Issues

The commentary contained in this section relates to the following officials that held office during 2011:

County Judge: Ron Daniell  
Treasurer: Judy Beth Hutcherson  
Sheriff and Tax Collector: Jason Watson  
County Clerk: Rhonda Cole  
Circuit Clerk: Martha Smith  
County Librarian: Judy Golden

Our audit procedures indicated that the offices of **County Judge, Treasurer, Sheriff and Tax Collector, County Clerk, Circuit Clerk, and County Librarian** were in substantial compliance with Arkansas fiscal and financial laws.

This report is intended solely for the information and use of the Legislative Joint Auditing Committee, local County government, state executive and oversight management, the federal awarding agencies, and pass-through entities, if applicable, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

DIVISION OF LEGISLATIVE AUDIT

A handwritten signature in dark ink, reading "June M. Barron". The signature is fluid and cursive, with the first name "June" being the most prominent.

June M. Barron, CPA, CFE  
Deputy Legislative Auditor

Little Rock, Arkansas  
November 28, 2012

CLARK COUNTY, ARKANSAS  
BALANCE SHEET - REGULATORY BASIS  
DECEMBER 31, 2011

Exhibit A

|                                         | <u>General</u>                 | <u>Road</u>                    | <u>Other Funds<br/>in the<br/>Aggregate</u> |
|-----------------------------------------|--------------------------------|--------------------------------|---------------------------------------------|
| ASSETS                                  |                                |                                |                                             |
| Cash and cash equivalents               | \$ 1,838,353                   | \$ 3,603,449                   | \$ 4,208,698                                |
| Accounts receivable                     | <u>611,415</u>                 | <u>220,267</u>                 | <u>171,210</u>                              |
| <br>TOTAL ASSETS                        | <br><u><u>\$ 2,449,768</u></u> | <br><u><u>\$ 3,823,716</u></u> | <br><u><u>\$ 4,379,908</u></u>              |
| <br>LIABILITIES AND FUND BALANCES       |                                |                                |                                             |
| Liabilities:                            |                                |                                |                                             |
| Accounts payable                        | \$ 91,121                      | \$ 57,775                      | \$ 49,101                                   |
| Settlements pending                     | <u>12,825</u>                  |                                | <u>1,004,409</u>                            |
| Total Liabilities                       | <u><u>103,946</u></u>          | <u><u>57,775</u></u>           | <u><u>1,053,510</u></u>                     |
| <br>Fund Balances: (Note 7)             |                                |                                |                                             |
| Restricted                              | 29,265                         | 3,765,941                      | 2,071,098                                   |
| Committed                               | 367,433                        |                                | 1,244,014                                   |
| Assigned                                | 845,449                        |                                | 11,286                                      |
| Unassigned                              | <u>1,103,675</u>               |                                |                                             |
| Total Fund Balances                     | <u><u>2,345,822</u></u>        | <u><u>3,765,941</u></u>        | <u><u>3,326,398</u></u>                     |
| <br>TOTAL LIABILITIES AND FUND BALANCES | <br><u><u>\$ 2,449,768</u></u> | <br><u><u>\$ 3,823,716</u></u> | <br><u><u>\$ 4,379,908</u></u>              |

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS  
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -  
REGULATORY BASIS  
FOR THE YEAR ENDED DECEMBER 31, 2011

Exhibit B

|                                                   | General          | Road             | Other Funds<br>in the<br>Aggregate |
|---------------------------------------------------|------------------|------------------|------------------------------------|
| REVENUES                                          |                  |                  |                                    |
| State aid                                         | \$ 523,988       | \$ 1,116,264     | \$ 69,039                          |
| Federal aid                                       | 76,272           |                  | 592,828                            |
| Property taxes                                    | 535,479          | 183,580          | 444,099                            |
| Sales taxes                                       | 1,510,580        | 1,339,571        |                                    |
| Fines, forfeitures, and costs                     | 368,819          |                  | 174,302                            |
| Interest                                          | 15,742           | 38,017           | 33,310                             |
| Officers' fees                                    | 38,735           |                  | 147,434                            |
| Prisoner care                                     | 84,610           |                  |                                    |
| 911 surcharges                                    |                  |                  | 207,074                            |
| Sanitation fees                                   | 448,627          |                  |                                    |
| Treasurer's commission                            | 122,310          |                  | 16,529                             |
| Collector's commission                            | 136,523          |                  | 39,905                             |
| Taxes apportioned - Assessor's salary and expense | 269,179          |                  |                                    |
| Other                                             | 452,665          | 30,029           | 39,974                             |
| <b>TOTAL REVENUES</b>                             | <b>4,583,529</b> | <b>2,707,461</b> | <b>1,764,494</b>                   |
| Less: Treasurer's commission                      | 63,245           | 40,114           | 14,875                             |
| <b>NET REVENUES</b>                               | <b>4,520,284</b> | <b>2,667,347</b> | <b>1,749,619</b>                   |
| EXPENDITURES                                      |                  |                  |                                    |
| Current:                                          |                  |                  |                                    |
| General government                                | 1,419,796        |                  | 697,679                            |
| Law enforcement                                   | 1,974,889        |                  | 535,544                            |
| Highways and streets                              |                  | 2,705,883        |                                    |
| Public safety                                     | 79,149           |                  | 199,886                            |
| Sanitation                                        | 659,190          |                  |                                    |
| Health                                            | 71,706           |                  |                                    |
| Recreation and culture                            | 31,500           |                  | 274,890                            |
| Social services                                   | 67,764           |                  |                                    |
| <b>TOTAL EXPENDITURES</b>                         | <b>4,303,994</b> | <b>2,705,883</b> | <b>1,707,999</b>                   |

CLARK COUNTY, ARKANSAS  
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -  
REGULATORY BASIS  
FOR THE YEAR ENDED DECEMBER 31, 2011

Exhibit B

|                                                                                  | <u>General</u>             | <u>Road</u>                | <u>Other Funds<br/>in the<br/>Aggregate</u> |
|----------------------------------------------------------------------------------|----------------------------|----------------------------|---------------------------------------------|
| EXCESS OF REVENUES OVER (UNDER)<br>EXPENDITURES                                  | <u>\$ 216,290</u>          | <u>\$ (38,536)</u>         | <u>\$ 41,620</u>                            |
| OTHER FINANCING SOURCES (USES)                                                   |                            |                            |                                             |
| Transfers in                                                                     | 21,320                     |                            |                                             |
| Transfers out                                                                    |                            |                            | <u>(21,320)</u>                             |
| TOTAL OTHER FINANCING SOURCES (USES)                                             | <u>21,320</u>              |                            | <u>(21,320)</u>                             |
| EXCESS OF REVENUES AND OTHER SOURCES OVER<br>(UNDER) EXPENDITURES AND OTHER USES | <u>237,610</u>             | <u>(38,536)</u>            | <u>20,300</u>                               |
| FUND BALANCES - JANUARY 1, AS PREVIOUSLY REPORTED                                | 1,317,794                  | 3,804,477                  | 4,096,516                                   |
| Restatement adjustment                                                           | <u>790,418</u>             |                            | <u>(790,418)</u>                            |
| FUND BALANCES - JANUARY 1, AS RESTATED                                           | <u>2,108,212</u>           | <u>3,804,477</u>           | <u>3,306,098</u>                            |
| FUND BALANCES - DECEMBER 31                                                      | <u><u>\$ 2,345,822</u></u> | <u><u>\$ 3,765,941</u></u> | <u><u>\$ 3,326,398</u></u>                  |

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS  
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -  
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS  
FOR THE YEAR ENDED DECEMBER 31, 2011

Exhibit C

|                                                   | General    |            |                                        | Road         |              |                                        |
|---------------------------------------------------|------------|------------|----------------------------------------|--------------|--------------|----------------------------------------|
|                                                   | Budget     | Actual     | Variance<br>Favorable<br>(Unfavorable) | Budget       | Actual       | Variance<br>Favorable<br>(Unfavorable) |
| REVENUES                                          |            |            |                                        |              |              |                                        |
| State aid                                         | \$ 479,100 | \$ 523,988 | \$ 44,888                              | \$ 1,069,631 | \$ 1,116,264 | \$ 46,633                              |
| Federal aid                                       | 47,500     | 76,272     | 28,772                                 |              |              |                                        |
| Property taxes                                    | 602,000    | 535,479    | (66,521)                               | 190,000      | 183,580      | (6,420)                                |
| Sales taxes                                       | 1,619,510  | 1,510,580  | (108,930)                              | 1,300,000    | 1,339,571    | 39,571                                 |
| Fines, forfeitures, and costs                     | 341,500    | 368,819    | 27,319                                 |              |              |                                        |
| Interest                                          | 20,000     | 15,742     | (4,258)                                | 60,000       | 38,017       | (21,983)                               |
| Officers' fees                                    | 60,000     | 38,735     | (21,265)                               |              |              |                                        |
| Prisoner care                                     | 90,000     | 84,610     | (5,390)                                |              |              |                                        |
| Sanitation fees                                   | 450,000    | 448,627    | (1,373)                                |              |              |                                        |
| Treasurer's commission                            | 110,000    | 122,310    | 12,310                                 |              |              |                                        |
| Collector's commission                            | 85,000     | 136,523    | 51,523                                 |              |              |                                        |
| Taxes apportioned - Assessor's salary and expense | 500,000    | 269,179    | (230,821)                              |              |              |                                        |
| Other                                             | 468,702    | 452,665    | (16,037)                               | 79,265       | 30,029       | (49,236)                               |
| TOTAL REVENUES                                    | 4,873,312  | 4,583,529  | (289,783)                              | 2,698,896    | 2,707,461    | 8,565                                  |
| Less: Treasurer's commission                      |            | 63,245     | (63,245)                               |              | 40,114       | (40,114)                               |
| NET REVENUES                                      | 4,873,312  | 4,520,284  | (353,028)                              | 2,698,896    | 2,667,347    | (31,549)                               |
| EXPENDITURES                                      |            |            |                                        |              |              |                                        |
| Current:                                          |            |            |                                        |              |              |                                        |
| General government                                | 1,502,455  | 1,419,796  | 82,659                                 |              |              |                                        |
| Law enforcement                                   | 2,053,379  | 1,974,889  | 78,490                                 |              |              |                                        |
| Highways and streets                              |            |            |                                        | 3,647,860    | 2,705,883    | 941,977                                |
| Public safety                                     | 83,865     | 79,149     | 4,716                                  |              |              |                                        |
| Sanitation                                        | 882,215    | 659,190    | 223,025                                |              |              |                                        |
| Health                                            | 71,968     | 71,706     | 262                                    |              |              |                                        |
| Recreation and culture                            | 31,500     | 31,500     |                                        |              |              |                                        |
| Social services                                   | 69,328     | 67,764     | 1,564                                  |              |              |                                        |
| TOTAL EXPENDITURES                                | 4,694,710  | 4,303,994  | 390,716                                | 3,647,860    | 2,705,883    | 941,977                                |

CLARK COUNTY, ARKANSAS  
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -  
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS  
FOR THE YEAR ENDED DECEMBER 31, 2011

Exhibit C

|                                                                                  | General           |                     |                                        | Road                |                     |                                        |
|----------------------------------------------------------------------------------|-------------------|---------------------|----------------------------------------|---------------------|---------------------|----------------------------------------|
|                                                                                  | Budget            | Actual              | Variance<br>Favorable<br>(Unfavorable) | Budget              | Actual              | Variance<br>Favorable<br>(Unfavorable) |
| EXCESS OF REVENUES OVER (UNDER)<br>EXPENDITURES                                  | <u>\$ 178,602</u> | <u>\$ 216,290</u>   | <u>\$ 37,688</u>                       | <u>\$ (948,964)</u> | <u>\$ (38,536)</u>  | <u>\$ 910,428</u>                      |
| OTHER FINANCING SOURCES (USES)                                                   |                   |                     |                                        |                     |                     |                                        |
| Transfers in                                                                     | 52,506            | 21,320              | (31,186)                               |                     |                     |                                        |
| Transfers out                                                                    | <u>(21,500)</u>   |                     | <u>21,500</u>                          |                     |                     |                                        |
| TOTAL OTHER FINANCING SOURCES (USES)                                             | <u>31,006</u>     | <u>21,320</u>       | <u>(9,686)</u>                         |                     |                     |                                        |
| EXCESS OF REVENUES AND OTHER SOURCES OVER<br>(UNDER) EXPENDITURES AND OTHER USES | <u>209,608</u>    | <u>237,610</u>      | <u>28,002</u>                          | <u>(948,964)</u>    | <u>(38,536)</u>     | <u>910,428</u>                         |
| FUND BALANCES - JANUARY 1, AS PREVIOUSLY REPORTED                                | 1,000,000         | 1,317,794           | 317,794                                | 3,500,000           | 3,804,477           | 304,477                                |
| Restatement adjustment                                                           |                   | <u>790,418</u>      | <u>790,418</u>                         |                     |                     |                                        |
| FUND BALANCES - JANUARY 1, AS RESTATED                                           | <u>1,000,000</u>  | <u>2,108,212</u>    | <u>1,108,212</u>                       | <u>3,500,000</u>    | <u>3,804,477</u>    | <u>304,477</u>                         |
| FUND BALANCES - DECEMBER 31                                                      | <u>\$ 209,608</u> | <u>\$ 2,345,822</u> | <u>\$ 2,136,214</u>                    | <u>\$ (948,964)</u> | <u>\$ 3,765,941</u> | <u>\$ 4,714,905</u>                    |

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 1: Summary of Significant Accounting Policies**

**A. Financial Reporting Entity**

The County is a political subdivision of the state governed by an elected quorum court. The reporting entity includes all the funds of the County.

**B. Basis of Presentation - Regulatory Fund Accounting**

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Arkansas Code. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road funds; notes to financial statements; and a supplemental schedule of capital assets.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

**General Fund** - The General Fund is used to account for and report all financial resources not accounted for and reported in another fund. The General Fund heading as it appears in the financial statements includes the following accounts: General, Various Fire Departments, Courthouse Annex, Local Emergency Planning, Sanitation, and Drug Enforcement.

**Road Fund** - The Road Fund (Special Revenue Fund) is used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Road Fund accounts for and reports proceeds of state highway turnback, property taxes, and sales taxes that are restricted or committed for maintaining and constructing roads.

**Other Funds in the Aggregate** - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

**Special Revenue Funds** - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The following Special Revenue Funds are reported with other funds in the aggregate: Office of Emergency Services, Clark County Marina, Indigent Investigator, Indigent Defense, County Recorder's Cost, Group Living Arkansas Community and Economic Development (ACED) Grant, Support Collection Cost, Juvenile Probation, Boating Safety, Breathalyzer, District Court Cost, Victim/Witness, Emergency 911, Sheriff's Drug Control, Disaster Recovery, Juvenile Work Supervision, Treasurer's Automation, Assessor's Amendment no. 79, Mobile Emergency Operations, District Court Jail Fee, Collector's Automation, County Clerk's Cost, District Court Automation, Fire Department Library Grant, Circuit Court Automation, Jail Maintenance, Danfoss Arkansas Community and Economic Development (ACED) Grant, H & P Sales Grant, County Public Library, and Communication Facility and Equipment.

**Capital Projects Funds** - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets. The Capital Projects Fund, Jail Construction, is reported with other funds in the aggregate.

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 1: Summary of Significant Accounting Policies (Continued)**

**B. Basis of Presentation - Regulatory Fund Accounting (Continued)**

**Other Funds in the Aggregate (Continued)**

Agency Funds - Agency Funds are used to account for assets held by the entity as an agent for individuals, private organizations, other governmental units, and other funds. The following Agency Funds are reported with other funds in the aggregate: Funds held by the County Treasurer – Treasurer's Commission, Collector's Commission, General School, Law Library, Okolona School District, Improvement Tax, City of Whelen Springs – General; County Tax Collector – Current Tax, Delinquent Tax, Credit Card, and Protest; County Sheriff – Bond and Fine, Fees, Circuit Bond, and Commissary; County Clerk – Fee and Trust; Circuit Clerk – Fee and Trust; and County Judge – Sanitation.

**C. Basis of Accounting**

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Arkansas Code. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues are recognized as soon as they are both measurable and available except for Treasurer's and Collector's commission and Taxes apportioned – Assessor's salary and expense which are recognized when earned. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. Expenditures generally are recorded when a liability is incurred. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

**D. Assets, Liabilities, and Fund Balances**

**Cash and Cash Equivalents**

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts and certificates of deposit.

**Settlements Pending**

Settlements pending are considered property taxes, fines, forfeitures, costs, fees, commissions, and trust funds that have not been transferred to the appropriate entities.

**Fund Balance Classifications**

1. Restricted fund balance – amounts that are restricted when constraints placed on the use of resources are either (a) externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments; or (b) imposed by law through constitutional provisions or enabling legislation.
2. Committed fund balance – amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the Quorum Court.
3. Assigned fund balance – amounts that are constrained by the Quorum Court's intent to be used for specific purposes, but are neither restricted nor committed.
4. Unassigned fund balance – amounts that have not been assigned to other funds and that have not been restricted, committed, or assigned to specific purposes within the general fund. This classification may also include negative amounts in other governmental funds, if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 1: Summary of Significant Accounting Policies (Continued)**

**E. Property Taxes**

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 15.

**F. Budget Law**

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund, and the other Special Revenue Funds.

**G. Fund Balance Classification Policies and Procedures**

The County's highest level of decision-making authority is its Quorum Court. The establishment of amounts classified as committed fund balances and any subsequent modifications to such balances are the result of formal action taken by the Quorum Court through passage of an ordinance. The Quorum Court is authorized to assign amounts to a specific purpose, although a formal policy has not been established.

The County does not have a policy addressing whether it considers restricted or unrestricted amounts to have been spent when an expenditure is incurred for purposes for which both restricted and unrestricted amounts are available. For classification of fund balance amounts, restricted resources are considered spent before unrestricted. The County does not have a policy addressing which resources to use within the unrestricted fund balance when committed, assigned, or unassigned fund balances are available. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, committed amounts are reduced first, followed by assigned amounts, and then unassigned amounts.

**H. Change in Regulatory Basis**

The County adopted Governmental Accounting Standards Board (GASB) Statement no. 54, *Fund Balance Reporting and Governmental Fund Type Definitions* on January 1, 2011. GASB Statement no. 54 changed the classifications of governmental fund balances from reserved and unreserved to nonspendable, restricted, committed, assigned, and unassigned.

**NOTE 2: Cash**

Deposit risks related to credit risk, concentration of credit risk, interest rate risk, and foreign currency risk have not been provided as required by Governmental Accounting Standards Board Statement no. 40.

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 3: Legal or Contractual Provisions for Deposits and Investments**

State law generally requires that county funds be deposited in federally insured banks located in the State of Arkansas. The county deposits may be in the form of checking accounts, savings accounts, and time deposits. Public funds may be invested in eligible investment securities having a maturity of not longer than 5 years from the date of acquisition unless, as documented at the time of acquisition, the investment is to fund or support a specific purpose and there are no expectations that the investment will be sold before maturity; an Arkansas bank certificate of deposit; an account established by a local government joint investment trust; or an Arkansas financial institution repurchase agreement for eligible investment securities in which the seller agrees to repurchase the investment at a price including interest earned during the holding period as determined by the repurchase agreement.

**NOTE 4: Accounts Receivable**

The accounts receivable balance at December 31, 2011 is composed of the following:

| Description                   | General Fund      | Road Fund         | Other Funds in the Aggregate |
|-------------------------------|-------------------|-------------------|------------------------------|
| State aid                     | \$ 83,071         | \$ 87,508         | \$ 15,069                    |
| Federal aid                   | 6,442             |                   | 5,559                        |
| Property taxes                | 23,475            | 6,821             | 16,200                       |
| Sales taxes                   | 117,468           | 104,170           |                              |
| Fines, forfeitures, and costs | 40,676            |                   | 28,352                       |
| Officers' fees                | 2,617             |                   | 21,781                       |
| Sanitation fees               | 55,290            |                   |                              |
| 911 surcharges                |                   |                   | 32,350                       |
| Prisoner care                 | 6,843             |                   |                              |
| Treasurer's commission        | 125,731           | 12,206            | 5,900                        |
| Collector's commission        | 136,523           |                   | 45,978                       |
| Other                         | 13,279            | 9,562             | 21                           |
| Totals                        | <u>\$ 611,415</u> | <u>\$ 220,267</u> | <u>\$ 171,210</u>            |

**NOTE 5: Accounts Payable**

The accounts payable balance at December 31, 2011 is composed of the following:

| Description     | General Fund     | Road Fund        | Other Funds in the Aggregate |
|-----------------|------------------|------------------|------------------------------|
| Vendor payables | <u>\$ 91,121</u> | <u>\$ 57,775</u> | <u>\$ 49,101</u>             |

**NOTE 6: Legal Debt Limit**

A. Property Tax Secured Bonded Debt

The County is subject to a constitutional limitation for bonded indebtedness equal to 10% of the total assessed value for tax purposes of real and personal property as determined by the last tax assessment. At December 31, 2011, the legal debt limit for bonded debt was \$23,945,074. There were no property tax secured bond issues.

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 6: Legal Debt Limit (Continued)**

B. Short-term Financing Obligations

The County is subject to a constitutional limitation for short-term financing obligations equal to 2.5% of the assessed value of taxable property within the County as determined by the last tax assessment. At December 31, 2011, the legal debt limit for short-term financing obligations was \$6,691,990. There were no short-term financing obligations.

**NOTE 7: Details of Fund Balance Classifications**

Fund balance classifications at December 31, 2011 are composed of the following:

| Description            | General             | Road                | Other Funds in<br>the Aggregate |
|------------------------|---------------------|---------------------|---------------------------------|
| Fund Balances:         |                     |                     |                                 |
| Restricted for:        |                     |                     |                                 |
| General government     |                     |                     | \$ 276,293                      |
| Law enforcement        | \$ 3,002            |                     | 673,934                         |
| Highways and streets   |                     | \$ 3,765,941        |                                 |
| Public safety          | 2,348               |                     | 747,376                         |
| Recreation and culture | 23,915              |                     | 373,495                         |
| Total Restricted       | <u>29,265</u>       | <u>3,765,941</u>    | <u>2,071,098</u>                |
| Committed for:         |                     |                     |                                 |
| General government     | 367,433             |                     |                                 |
| Law enforcement        |                     |                     | 759,859                         |
| Capital projects       |                     |                     | 484,155                         |
| Total Committed        | <u>367,433</u>      |                     | <u>1,244,014</u>                |
| Assigned to:           |                     |                     |                                 |
| Sanitation             | 845,449             |                     |                                 |
| Recreation and culture |                     |                     | 11,286                          |
| Total Assigned         | <u>845,449</u>      |                     | <u>11,286</u>                   |
| Unassigned             | <u>1,103,675</u>    |                     |                                 |
| Totals                 | <u>\$ 2,345,822</u> | <u>\$ 3,765,941</u> | <u>\$ 3,326,398</u>             |

**NOTE 8: Commitments**

Total commitments consist of the following at December 31, 2011:

|                       | December 31,<br>2011 |
|-----------------------|----------------------|
| Long-term liabilities | \$ 335,586           |
| Reappraisal contract  | <u>656,806</u>       |
| Total Commitments     | <u>\$ 992,392</u>    |

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 8: Commitments (Continued)**

Long-term Liabilities

Long-term liabilities at December 31, 2011 are comprised of the following:

|                                             | December 31,<br>2011 |
|---------------------------------------------|----------------------|
| Landfill closure and postclosure care costs | \$ 310,904           |
| Compensated absences                        | 24,682               |
|                                             | <hr/>                |
| Total Long-term Liabilities                 | \$ 335,586           |
|                                             | <hr/>                |

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

Landfill Closure and Postclosure Care Costs

Clark County is the owner of permit no. 044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and to perform certain maintenance and monitoring functions at the site for two years after closure. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs are being recognized as a commitment each year based on landfill capacity used as of the balance sheet date. The estimated commitment for the landfill closure and postclosure care costs has a balance of \$310,904 as of December 31, 2011, and represents the cumulative amount reported to date based on 100% usage of the landfill. The County plans a lateral expansion for the Class IV solid waste into its six acre asbestos area. The asbestos area is estimated to exhaust 1.8 years from the balance sheet date.

Estimated costs are based on the amount that would be paid if all equipment, facilities, and services required to close, monitor, and maintain the landfill were acquired as of December 31, 2011. However, the actual cost of closure and postclosure may be higher due to inflation, changes in technology, or changes in landfill laws and regulations.

The County has provided financial assurance for the closure and postclosure care costs with an irrevocable letter of credit from Southern Bancorp Bank of Arkansas, dated May 23, 2009, in the amount of \$203,485 and in accordance with Ark. Code Ann. § 8-6-1603; the County has provided financial assurance of \$182,245 in the form of a Contract of Obligation dated June 12, 2007. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$182,245 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly disclose operation.

Reappraisal Contract

The County entered into a contract dated January 4, 2011 with Total Assessment Solutions Corporation for reappraisal services. The terms of the contract require \$821,008 to be paid in 60 monthly installments of \$13,684 beginning January 15, 2011.

The County is obligated for the following amounts:

| Year  | December 31,<br>2011 |
|-------|----------------------|
|       | <hr/>                |
| 2012  | \$ 164,201           |
| 2013  | 164,202              |
| 2014  | 164,201              |
| 2015  | 164,202              |
|       | <hr/>                |
| Total | \$ 656,806           |
|       | <hr/>                |

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 8: Commitments (Continued)**

Post Employment Benefits Other Than Pensions

The amount of any actuarially determined accrued liability for post employment benefits other than pensions was not determined.

**NOTE 9: Interfund Transfers**

Transfers of \$21,320 were made from Other Funds in the Aggregate to the General Fund. Of this amount, \$20,406 was for reimbursement of law enforcement expenses (Jail Maintenance Fund) and \$914 to close the Disaster Recovery Fund.

**NOTE 10: Related Party Transactions**

The County paid Wacaster Oil Company, Inc., \$412,650 for fuel and oil in 2011. County Judge Ron Daniell's uncle is distribution manager of Wacaster Oil Company, Inc. On June 11, 2003, the County established Ordinance no. 2003-10 authorizing purchases from Wacaster Oil Company, Inc.

The County paid Daniell Electric and Refrigeration \$17,073 for equipment and repairs in 2011. Judge Ron Daniell's uncle is owner of Daniell Electric and Refrigeration. On June 11, 2003, the County established Ordinance no. 2003-11 authorizing purchases from Daniell Electric and Refrigeration.

The County paid Southwest Probation Services \$37,335 for probation services in 2011. Sheriff's part-time deputy, Chance Leamons, owns Southwest Probation Services. On April 15, 2008, the County established Ordinance no. 2008-02 authorizing payment of services to Southwest Probation Services.

**NOTE 11: Jointly Governed Organizations**

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas, Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court, and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 11: Jointly Governed Organizations (Continued)**

**B. Narcotics Enforcement Unit**

The Prosecuting Attorneys of the Seventh and Ninth-East Judicial Districts, the Sheriff's Departments of Clark, Grant, and Hot Spring Counties, and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. Though this written agreement expired June 30, 2009, all parties are continuing on the premise of the 2009 agreement. Funding was provided through federal and state grants in addition to contributions from the participating entities. The County made no contributions to or on behalf of the Group "6" Narcotics Enforcement Unit in 2011. Separate financial statements for the Group "6" Narcotics Enforcement Unit are not available.

**C. Southwest Arkansas Regional Intermodal Authority**

Nevada, Clark, Montgomery, Pike, and Dallas Counties and the Cities of Gurdon, Prescott, Glenwood, Caddo Valley, Murfreesboro, Arkadelphia, Amity, and Fordyce entered into an agreement on May 18, 2010 to establish the Southwest Arkansas Regional Intermodal Authority pursuant to Ark. Code Ann. §§ 14-143-101 – 14-143-129. The Authority shall be governed by a board of directors consisting of eighteen members appointed by the participants' Mayors and County Judges. Each participating City will receive one member and each County will receive two members. Annual dues are \$2,000 per county and \$1,000 per city based on \$1,000 for each board member. Dues are payable in January of each year. The County made no contributions other than the annual membership dues of \$2,000.

**NOTE 12: Risk Management**

The County is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. These risks are covered by commercial insurance purchased from independent third parties and participation in a public entity risk pool. The amount of settlements, if any, has not exceeded the insurance coverage for each of the past three years. There were no significant reductions in insurance coverage in the major categories of risk from coverage in the prior year.

The County participates in the Association of Arkansas Counties Program (public entity risk pools) for coverage in the following area:

Workers' Compensation - This program provides statutory benefits for losses incurred by County officials, employees, and volunteer fire fighters while performing work for the County. Rates for counties participating in this program are revised annually based on the cost experience of the particular county or group as determined by the Workers' Compensation Commission.

The County participates in the Arkansas Public Entities Risk Management Association (APERMA) public entity risk pool for coverage in the following areas:

Building and Contents Program - This program is a blanket policy with coverage up to \$100,000,000 for any one loss with a \$500 deductible. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county property.

**Vehicle Program**

- A. Liability - This program may pay all sums the County legally must pay as damages because of bodily injury, death, or property damage to which this agreement applies involving a covered county vehicle and for which the County is liable. The limit of payment for in-state claims is \$25,000 for bodily injury per person, \$50,000 for bodily injury per accident, and \$25,000 for property damage per accident (\$100,000 respectively for out-of-state claims). The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county vehicles owned or leased by the County.

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 12: Risk Management (Continued)**

Vehicle Program (Continued)

B. Physical Damage - This program covers vehicles and mobile equipment which are the property of the participating county. Property is valued at the cost to repair or replace the property after deduction for depreciation. Loss amounts will be reduced by the deductible amount of \$1,000 for Sheriff's Department vehicles and \$500 for all other covered vehicles and mobile equipment. The County agrees to pay into the program each year a service charge established annually by the Risk Management Fund Board for covered property.

General Liability Program - The program shall provide legal defense in civil rights suits against the county government of a participating county and pay judgments imposed on County officials and employees and the county government and county-formed boards and commissions. Coverage is limited to \$350,000 per case with an annual aggregate of \$350,000. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for this coverage.

The County also participates in the Self-Insured Fidelity Bond Program administered by the Governmental Bonding Board. This program covers actual losses sustained by the participating entity through any fraudulent or dishonest act or acts committed by any of the officials or employees, acting alone or in collusion with others, during the bond period to an amount not exceeding the lesser of \$250,000 or the amount of the bond. Premiums for coverage are determined by the State Risk Manager and approved by the Board. These premiums are paid by the State Treasurer from funds withheld from the County Aid Fund. There is a \$1,000 deductible per occurrence.

The County also participates in the Volunteers Insurance Service Association administered by CIMA Companies, Inc. This program covers designated volunteers participating in volunteer projects through the County (Prisoner Work Release Program, Court Referred Alternative Sentencing Program, and Community Service Program) for accidental death and dismemberment coverage and accidental medical expense coverage. Coverage is limited to \$2,500 for accidental death and dismemberment and \$25,000 per case with a \$200 deductible per occurrence. These premiums are paid by the General Fund.

**NOTE 13: Arkansas Public Employees Retirement System**

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for PERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, One Union National Plaza, 124 W. Capitol, Little Rock, Arkansas 72201 or by calling 1-800-682-7377.

Funding Policy

PERS has contributory and non-contributory plans. Contributory members are required by code to contribute 5% of their salary. Each participating employer is required by code to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation.

CLARK COUNTY, ARKANSAS  
NOTES TO FINANCIAL STATEMENTS  
DECEMBER 31, 2011

**NOTE 14: Economic Development Corporation of Clark County, Arkansas**

The Economic Development Corporation of Clark County, Arkansas (EDCCC) was established as authorized by Ark. Code Ann. §§ 14-175-101 – 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007 for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,419,510 in 2011. An audit report of the EDCCC has not been provided.

**NOTE 15: Prior Year Restatement**

The beginning fund balances for the General Fund and Other Funds in the Aggregate were increased and decreased, respectively, by \$790,418 to reclassify the Sanitation and Drug Enforcement Funds as part of the General Fund.

CLARK COUNTY, ARKANSAS  
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -  
 REGULATORY BASIS  
 DECEMBER 31, 2011

Schedule 1

|                                     | SPECIAL REVENUE FUNDS              |                        |                          |                     |                              |                               |                       |                   |
|-------------------------------------|------------------------------------|------------------------|--------------------------|---------------------|------------------------------|-------------------------------|-----------------------|-------------------|
|                                     | Office of<br>Emergency<br>Services | Clark County<br>Marina | Indigent<br>Investigator | Indigent<br>Defense | County<br>Recorder's<br>Cost | Support<br>Collection<br>Cost | Juvenile<br>Probation | Boating<br>Safety |
| ASSETS                              |                                    |                        |                          |                     |                              |                               |                       |                   |
| Cash and cash equivalents           | \$ 49,231                          | \$ 52,440              | \$ 73,927                | \$ 193,263          | \$ 13,736                    | \$ 20,939                     | \$ 4,529              | \$ 30,992         |
| Accounts receivable                 | 5,561                              | 2,276                  | 688                      | 1,923               | 11,913                       | 52                            |                       | 406               |
| TOTAL ASSETS                        | <u>\$ 54,792</u>                   | <u>\$ 54,716</u>       | <u>\$ 74,615</u>         | <u>\$ 195,186</u>   | <u>\$ 25,649</u>             | <u>\$ 20,991</u>              | <u>\$ 4,529</u>       | <u>\$ 31,398</u>  |
| LIABILITIES AND FUND BALANCES       |                                    |                        |                          |                     |                              |                               |                       |                   |
| Liabilities:                        |                                    |                        |                          |                     |                              |                               |                       |                   |
| Accounts payable                    |                                    |                        |                          | \$ 370              | \$ 1,108                     |                               |                       | \$ 500            |
| Settlements pending                 |                                    |                        |                          |                     |                              |                               |                       |                   |
| Total Liabilities                   |                                    |                        |                          | <u>370</u>          | <u>1,108</u>                 |                               |                       | <u>500</u>        |
| Fund Balances:                      |                                    |                        |                          |                     |                              |                               |                       |                   |
| Restricted                          | \$ 54,792                          | \$ 54,716              | \$ 74,615                | 194,816             | 24,541                       | \$ 20,991                     | \$ 4,529              | 30,898            |
| Committed                           |                                    |                        |                          |                     |                              |                               |                       |                   |
| Assigned                            |                                    |                        |                          |                     |                              |                               |                       |                   |
| Total Fund Balances                 | <u>54,792</u>                      | <u>54,716</u>          | <u>74,615</u>            | <u>194,816</u>      | <u>24,541</u>                | <u>20,991</u>                 | <u>4,529</u>          | <u>30,898</u>     |
| TOTAL LIABILITIES AND FUND BALANCES | <u>\$ 54,792</u>                   | <u>\$ 54,716</u>       | <u>\$ 74,615</u>         | <u>\$ 195,186</u>   | <u>\$ 25,649</u>             | <u>\$ 20,991</u>              | <u>\$ 4,529</u>       | <u>\$ 31,398</u>  |

CLARK COUNTY, ARKANSAS  
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -  
REGULATORY BASIS  
DECEMBER 31, 2011

Schedule 1

|                                     | SPECIAL REVENUE FUNDS |                        |                 |                   |                              |                           |                                   |                            |
|-------------------------------------|-----------------------|------------------------|-----------------|-------------------|------------------------------|---------------------------|-----------------------------------|----------------------------|
|                                     | Breathalyzer          | District Court<br>Cost | Victim/Witness  | Emergency<br>911  | Juvenile Work<br>Supervision | Treasurer's<br>Automation | Assessor's<br>Amendment<br>no. 79 | District Court<br>Jail Fee |
| ASSETS                              |                       |                        |                 |                   |                              |                           |                                   |                            |
| Cash and cash equivalents           | \$ 11,069             | \$ 28,917              | \$ 4,886        | \$ 635,195        | \$ 114,168                   | \$ 13,847                 | \$ 25,654                         | \$ 120,063                 |
| Accounts receivable                 | 117                   | 2,046                  | 4,278           | 33,012            | 6                            | 1,375                     | 3,354                             | 17,840                     |
|                                     |                       |                        |                 |                   |                              |                           |                                   |                            |
| TOTAL ASSETS                        | <u>\$ 11,186</u>      | <u>\$ 30,963</u>       | <u>\$ 9,164</u> | <u>\$ 668,207</u> | <u>\$ 114,174</u>            | <u>\$ 15,222</u>          | <u>\$ 29,008</u>                  | <u>\$ 137,903</u>          |
|                                     |                       |                        |                 |                   |                              |                           |                                   |                            |
| LIABILITIES AND FUND BALANCES       |                       |                        |                 |                   |                              |                           |                                   |                            |
| Liabilities:                        |                       |                        |                 |                   |                              |                           |                                   |                            |
| Accounts payable                    |                       | \$ 985                 |                 | \$ 6,521          | \$ 666                       | \$ 90                     |                                   | \$ 7,300                   |
| Settlements pending                 |                       |                        |                 |                   |                              |                           |                                   |                            |
| Total Liabilities                   |                       | <u>985</u>             |                 | <u>6,521</u>      | <u>666</u>                   | <u>90</u>                 |                                   | <u>7,300</u>               |
|                                     |                       |                        |                 |                   |                              |                           |                                   |                            |
| Fund Balances:                      |                       |                        |                 |                   |                              |                           |                                   |                            |
| Restricted                          | \$ 11,186             | 29,978                 | \$ 9,164        | 661,686           | 113,508.00                   | 15,132                    | \$ 29,008                         | 130,603                    |
| Committed                           |                       |                        |                 |                   |                              |                           |                                   |                            |
| Assigned                            |                       |                        |                 |                   |                              |                           |                                   |                            |
| Total Fund Balances                 | <u>11,186</u>         | <u>29,978</u>          | <u>9,164</u>    | <u>661,686</u>    | <u>113,508</u>               | <u>15,132</u>             | <u>29,008</u>                     | <u>130,603</u>             |
|                                     |                       |                        |                 |                   |                              |                           |                                   |                            |
| TOTAL LIABILITIES AND FUND BALANCES | <u>\$ 11,186</u>      | <u>\$ 30,963</u>       | <u>\$ 9,164</u> | <u>\$ 668,207</u> | <u>\$ 114,174</u>            | <u>\$ 15,222</u>          | <u>\$ 29,008</u>                  | <u>\$ 137,903</u>          |

CLARK COUNTY, ARKANSAS  
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -  
REGULATORY BASIS  
DECEMBER 31, 2011

Schedule 1

|                                     | SPECIAL REVENUE FUNDS     |                        |                              |                             |                     |                      |                          |                                            |
|-------------------------------------|---------------------------|------------------------|------------------------------|-----------------------------|---------------------|----------------------|--------------------------|--------------------------------------------|
|                                     | Collector's<br>Automation | County<br>Clerk's Cost | District Court<br>Automation | Circuit Court<br>Automation | Jail<br>Maintenance | H & P Sales<br>Grant | County Public<br>Library | Communication<br>Facility and<br>Equipment |
| ASSETS                              |                           |                        |                              |                             |                     |                      |                          |                                            |
| Cash and cash equivalents           | \$ 149,688                | \$ 10,666              | \$ 20,148                    | \$ 26,712                   | \$ 772,236          | \$ 1                 | \$ 317,957               | \$ 29,870                                  |
| Accounts receivable                 | 45,986                    | 1,395                  | 8,644                        | 394                         | 14,990              |                      | 14,954                   |                                            |
|                                     |                           |                        |                              |                             |                     |                      |                          |                                            |
| TOTAL ASSETS                        | <u>\$ 195,674</u>         | <u>\$ 12,061</u>       | <u>\$ 28,792</u>             | <u>\$ 27,106</u>            | <u>\$ 787,226</u>   | <u>\$ 1</u>          | <u>\$ 332,911</u>        | <u>\$ 29,870</u>                           |
| LIABILITIES AND FUND BALANCES       |                           |                        |                              |                             |                     |                      |                          |                                            |
| Liabilities:                        |                           |                        |                              |                             |                     |                      |                          |                                            |
| Accounts payable                    |                           | \$ 124                 |                              | \$ 1,224                    | \$ 27,367           |                      | \$ 2,846                 |                                            |
| Settlements pending                 |                           |                        |                              |                             |                     |                      |                          |                                            |
| Total Liabilities                   |                           | <u>124</u>             |                              | <u>1,224</u>                | <u>27,367</u>       |                      | <u>2,846</u>             |                                            |
| Fund Balances:                      |                           |                        |                              |                             |                     |                      |                          |                                            |
| Restricted                          | \$ 195,674                | 11,937                 | \$ 28,792                    | 25,882                      |                     | \$ 1                 | 318,779                  | \$ 29,870                                  |
| Committed                           |                           |                        |                              |                             | 759,859             |                      |                          |                                            |
| Assigned                            |                           |                        |                              |                             |                     |                      | 11,286                   |                                            |
| Total Fund Balances                 | <u>195,674</u>            | <u>11,937</u>          | <u>28,792</u>                | <u>25,882</u>               | <u>759,859</u>      | <u>1</u>             | <u>330,065</u>           | <u>29,870</u>                              |
|                                     |                           |                        |                              |                             |                     |                      |                          |                                            |
| TOTAL LIABILITIES AND FUND BALANCES | <u>\$ 195,674</u>         | <u>\$ 12,061</u>       | <u>\$ 28,792</u>             | <u>\$ 27,106</u>            | <u>\$ 787,226</u>   | <u>\$ 1</u>          | <u>\$ 332,911</u>        | <u>\$ 29,870</u>                           |

CLARK COUNTY, ARKANSAS  
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -  
REGULATORY BASIS  
DECEMBER 31, 2011

Schedule 1

|                                     | CAPITAL<br>PROJECTS<br>FUND | AGENCY FUNDS            |                         |                      |                               |                             |                              |                     |
|-------------------------------------|-----------------------------|-------------------------|-------------------------|----------------------|-------------------------------|-----------------------------|------------------------------|---------------------|
|                                     | Jail<br>Construction        | Treasurer's<br>Accounts | Collector's<br>Accounts | Sheriff's<br>Account | County<br>Clerk's<br>Accounts | Circuit Clerk's<br>Accounts | County<br>Judge's<br>Account | Totals              |
| ASSETS                              |                             |                         |                         |                      |                               |                             |                              |                     |
| Cash and cash equivalents           | \$ 484,155                  | \$ 665,225              | \$ 146,137              | \$ 42,259            | \$ 1,424                      | \$ 104,959                  | \$ 44,405                    | \$ 4,208,698        |
| Accounts receivable                 |                             |                         |                         |                      |                               |                             |                              | 171,210             |
| TOTAL ASSETS                        | <u>\$ 484,155</u>           | <u>\$ 665,225</u>       | <u>\$ 146,137</u>       | <u>\$ 42,259</u>     | <u>\$ 1,424</u>               | <u>\$ 104,959</u>           | <u>\$ 44,405</u>             | <u>\$ 4,379,908</u> |
| LIABILITIES AND FUND BALANCES       |                             |                         |                         |                      |                               |                             |                              |                     |
| Liabilities:                        |                             |                         |                         |                      |                               |                             |                              |                     |
| Accounts payable                    |                             |                         |                         |                      |                               |                             |                              | \$ 49,101           |
| Settlements pending                 |                             | \$ 665,225              | \$ 146,137              | \$ 42,259            | \$ 1,424                      | \$ 104,959                  | \$ 44,405                    | 1,004,409           |
| Total Liabilities                   |                             | <u>665,225</u>          | <u>146,137</u>          | <u>42,259</u>        | <u>1,424</u>                  | <u>104,959</u>              | <u>44,405</u>                | <u>1,053,510</u>    |
| Fund Balances:                      |                             |                         |                         |                      |                               |                             |                              |                     |
| Restricted                          |                             |                         |                         |                      |                               |                             |                              | 2,071,098           |
| Committed                           | \$ 484,155                  |                         |                         |                      |                               |                             |                              | 1,244,014           |
| Assigned                            |                             |                         |                         |                      |                               |                             |                              | 11,286              |
| Total Fund Balances                 | <u>484,155</u>              |                         |                         |                      |                               |                             |                              | <u>3,326,398</u>    |
| TOTAL LIABILITIES AND FUND BALANCES | <u>\$ 484,155</u>           | <u>\$ 665,225</u>       | <u>\$ 146,137</u>       | <u>\$ 42,259</u>     | <u>\$ 1,424</u>               | <u>\$ 104,959</u>           | <u>\$ 44,405</u>             | <u>\$ 4,379,908</u> |

CLARK COUNTY, ARKANSAS  
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -  
REGULATORY BASIS  
FOR THE YEAR ENDED DECEMBER 31, 2011

Schedule 2

|                                                                                  | SPECIAL REVENUE FUNDS              |                        |                          |                     |                              |                                                                                   |                               |                       |
|----------------------------------------------------------------------------------|------------------------------------|------------------------|--------------------------|---------------------|------------------------------|-----------------------------------------------------------------------------------|-------------------------------|-----------------------|
|                                                                                  | Office of<br>Emergency<br>Services | Clark County<br>Marina | Indigent<br>Investigator | Indigent<br>Defense | County<br>Recorder's<br>Cost | Group Living<br>Arkansas Community<br>and Economic<br>Development (ACED)<br>Grant | Support<br>Collection<br>Cost | Juvenile<br>Probation |
| REVENUES                                                                         |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| State aid                                                                        |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| Federal aid                                                                      | \$ 91,167                          |                        |                          |                     |                              | \$ 186,075                                                                        |                               |                       |
| Property taxes                                                                   |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| Fines, forfeitures, and costs                                                    |                                    |                        | \$ 7,499                 | \$ 22,955           |                              |                                                                                   |                               |                       |
| Interest                                                                         | 413                                | \$ 465                 | 760                      | 2,063               | \$ 388                       |                                                                                   | \$ 218                        | \$ 49                 |
| Officers' fees                                                                   |                                    |                        |                          |                     | 107,964                      |                                                                                   | 3,239                         |                       |
| 911 surcharges                                                                   |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| Treasurer's commission                                                           |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| Collector's commission                                                           |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| Other                                                                            |                                    | 19,942                 |                          |                     | 926                          |                                                                                   |                               |                       |
| TOTAL REVENUES                                                                   | 91,580                             | 20,407                 | 8,259                    | 25,018              | 109,278                      | 186,075                                                                           | 3,457                         | 49                    |
| Less: Treasurer's commission                                                     | 6                                  | 301                    | 120                      | 343                 | 1,624                        |                                                                                   | 53                            | 1                     |
| NET REVENUES                                                                     | 91,574                             | 20,106                 | 8,139                    | 24,675              | 107,654                      | 186,075                                                                           | 3,404                         | 48                    |
| EXPENDITURES                                                                     |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| Current:                                                                         |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| General government                                                               |                                    |                        |                          |                     | 134,452                      | 186,075                                                                           |                               |                       |
| Law enforcement                                                                  | 34,270                             |                        | 490                      | 20,542              |                              |                                                                                   |                               |                       |
| Public safety                                                                    | 57,092                             |                        |                          |                     |                              |                                                                                   |                               |                       |
| Recreation and culture                                                           |                                    | 9,241                  |                          |                     |                              |                                                                                   |                               |                       |
| TOTAL EXPENDITURES                                                               | 91,362                             | 9,241                  | 490                      | 20,542              | 134,452                      | 186,075                                                                           |                               |                       |
| EXCESS OF REVENUES OVER (UNDER)<br>EXPENDITURES                                  | 212                                | 10,865                 | 7,649                    | 4,133               | (26,798)                     | 0                                                                                 | 3,404                         | 48                    |
| OTHER FINANCING SOURCES (USES)                                                   |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| Transfers out                                                                    |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| EXCESS OF REVENUES AND OTHER SOURCES OVER<br>(UNDER) EXPENDITURES AND OTHER USES | 212                                | 10,865                 | 7,649                    | 4,133               | (26,798)                     |                                                                                   | 3,404                         | 48                    |
| FUND BALANCES - JANUARY 1, AS PREVIOUSLY REPORTED                                | 54,580                             | 43,851                 | 66,966                   | 190,683             | 51,339                       |                                                                                   | 17,587                        | 4,481                 |
| Restatement adjustment                                                           |                                    |                        |                          |                     |                              |                                                                                   |                               |                       |
| FUND BALANCES - JANUARY 1, AS RESTATED                                           | 54,580                             | 43,851                 | 66,966                   | 190,683             | 51,339                       |                                                                                   | 17,587                        | 4,481                 |
| FUND BALANCES - DECEMBER 31                                                      | \$ 54,792                          | \$ 54,716              | \$ 74,615                | \$ 194,816          | \$ 24,541                    | \$ 0                                                                              | \$ 20,991                     | \$ 4,529              |

CLARK COUNTY, ARKANSAS  
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -  
REGULATORY BASIS  
FOR THE YEAR ENDED DECEMBER 31, 2011

Schedule 2

|                                                                                      | SPECIAL REVENUE FUNDS |                     |                            |                       |                      |                               |                          |                                  |
|--------------------------------------------------------------------------------------|-----------------------|---------------------|----------------------------|-----------------------|----------------------|-------------------------------|--------------------------|----------------------------------|
|                                                                                      | <u>Boating Safety</u> | <u>Breathalyzer</u> | <u>District Court Cost</u> | <u>Victim/Witness</u> | <u>Emergency 911</u> | <u>Sheriff's Drug Control</u> | <u>Disaster Recovery</u> | <u>Juvenile Work Supervision</u> |
| REVENUES                                                                             |                       |                     |                            |                       |                      |                               |                          |                                  |
| State aid                                                                            | \$ 3,316              |                     |                            |                       |                      |                               |                          |                                  |
| Federal aid                                                                          |                       |                     |                            |                       | \$ 8,900             |                               |                          |                                  |
| Property taxes                                                                       |                       |                     |                            |                       |                      |                               |                          |                                  |
| Fines, forfeitures, and costs                                                        |                       | \$ 1,254            | \$ 22,608                  | \$ 46,098             |                      |                               |                          |                                  |
| Interest                                                                             | 318                   | 116                 | 258                        | 169                   | 6,407                | \$ 11                         | \$ 13                    | \$ 1,242                         |
| Officers' fees                                                                       |                       |                     |                            |                       |                      |                               |                          |                                  |
| 911 surcharges                                                                       |                       |                     |                            |                       | 207,074              |                               |                          |                                  |
| Treasurer's commission                                                               |                       |                     |                            |                       |                      |                               |                          |                                  |
| Collector's commission                                                               |                       |                     |                            |                       |                      |                               |                          |                                  |
| Other                                                                                |                       |                     |                            | 28                    | 1,995                |                               | 2,140                    |                                  |
| <b>TOTAL REVENUES</b>                                                                | <b>3,634</b>          | <b>1,370</b>        | <b>22,866</b>              | <b>46,295</b>         | <b>224,376</b>       | <b>11</b>                     | <b>2,153</b>             | <b>1,242</b>                     |
| Less: Treasurer's commission                                                         | 55                    | 20                  | 335                        | 627                   | 2,177                |                               |                          | 19                               |
| <b>NET REVENUES</b>                                                                  | <b>3,579</b>          | <b>1,350</b>        | <b>22,531</b>              | <b>45,668</b>         | <b>222,199</b>       | <b>11</b>                     | <b>2,153</b>             | <b>1,223</b>                     |
| EXPENDITURES                                                                         |                       |                     |                            |                       |                      |                               |                          |                                  |
| Current:                                                                             |                       |                     |                            |                       |                      |                               |                          |                                  |
| General government                                                                   |                       |                     |                            |                       |                      |                               |                          |                                  |
| Law enforcement                                                                      |                       | 676                 | 12,588                     | 62,462                |                      | 2,360                         |                          |                                  |
| Public safety                                                                        | 833                   |                     |                            |                       | 111,331              |                               | 3,273                    | 2,999                            |
| Recreation and culture                                                               |                       |                     |                            |                       |                      |                               |                          |                                  |
| <b>TOTAL EXPENDITURES</b>                                                            | <b>833</b>            | <b>676</b>          | <b>12,588</b>              | <b>62,462</b>         | <b>111,331</b>       | <b>2,360</b>                  | <b>3,273</b>             | <b>2,999</b>                     |
| <b>EXCESS OF REVENUES OVER (UNDER) EXPENDITURES</b>                                  | <b>2,746</b>          | <b>674</b>          | <b>9,943</b>               | <b>(16,794)</b>       | <b>110,868</b>       | <b>(2,349)</b>                | <b>(1,120)</b>           | <b>(1,776)</b>                   |
| OTHER FINANCING SOURCES (USES)                                                       |                       |                     |                            |                       |                      |                               |                          |                                  |
| Transfers out                                                                        |                       |                     |                            |                       |                      |                               | (914)                    |                                  |
| <b>EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES</b> | <b>2,746</b>          | <b>674</b>          | <b>9,943</b>               | <b>(16,794)</b>       | <b>110,868</b>       | <b>(2,349)</b>                | <b>(2,034)</b>           | <b>(1,776)</b>                   |
| <b>FUND BALANCES - JANUARY 1, AS PREVIOUSLY REPORTED</b>                             | <b>28,152</b>         | <b>10,512</b>       | <b>20,035</b>              | <b>25,958</b>         | <b>550,818</b>       | <b>2,349</b>                  | <b>2,034</b>             | <b>115,284</b>                   |
| Restatement adjustment                                                               |                       |                     |                            |                       |                      |                               |                          |                                  |
| <b>FUND BALANCES - JANUARY 1, AS RESTATED</b>                                        | <b>28,152</b>         | <b>10,512</b>       | <b>20,035</b>              | <b>25,958</b>         | <b>550,818</b>       | <b>2,349</b>                  | <b>2,034</b>             | <b>115,284</b>                   |
| <b>FUND BALANCES - DECEMBER 31</b>                                                   | <b>\$ 30,898</b>      | <b>\$ 11,186</b>    | <b>\$ 29,978</b>           | <b>\$ 9,164</b>       | <b>\$ 661,686</b>    | <b>\$ 0</b>                   | <b>\$ 0</b>              | <b>\$ 113,508</b>                |

CLARK COUNTY, ARKANSAS  
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -  
REGULATORY BASIS  
FOR THE YEAR ENDED DECEMBER 31, 2011

Schedule 2

|                                                                                  | SPECIAL REVENUE FUNDS     |                                   |                                   |                            |            |                           |                        |                              |                                     |
|----------------------------------------------------------------------------------|---------------------------|-----------------------------------|-----------------------------------|----------------------------|------------|---------------------------|------------------------|------------------------------|-------------------------------------|
|                                                                                  | Treasurer's<br>Automation | Assessor's<br>Amendment<br>no. 79 | Mobile<br>Emergency<br>Operations | District Court<br>Jail Fee | Sanitation | Collector's<br>Automation | County Clerk's<br>Cost | District Court<br>Automation | Fire<br>Department<br>Library Grant |
| REVENUES                                                                         |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| State aid                                                                        |                           | \$ 3,331                          |                                   |                            |            |                           |                        |                              |                                     |
| Federal aid                                                                      |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| Property taxes                                                                   |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| Fines, forfeitures, and costs                                                    |                           |                                   |                                   | \$ 73,888                  |            |                           |                        |                              |                                     |
| Interest                                                                         | \$ 112                    | 309                               | \$ 44                             | 995                        |            | \$ 1,672                  | \$ 80                  | \$ 203                       | \$ 109                              |
| Officers' fees                                                                   |                           |                                   |                                   |                            |            |                           | 13,337                 | 13,918                       |                                     |
| 911 surcharges                                                                   |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| Treasurer's commission                                                           | 16,529                    |                                   |                                   |                            |            |                           |                        |                              |                                     |
| Collector's commission                                                           |                           |                                   |                                   |                            |            | 39,905                    |                        |                              |                                     |
| Other                                                                            |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| TOTAL REVENUES                                                                   | 16,641                    | 3,640                             | 44                                | 74,883                     |            | 41,577                    | 13,417                 | 14,121                       | 109                                 |
| Less: Treasurer's commission                                                     | 2                         | 74                                | 1                                 | 929                        |            | 25                        | 200                    | 88                           | 2                                   |
| NET REVENUES                                                                     | 16,639                    | 3,566                             | 43                                | 73,954                     |            | 41,552                    | 13,217                 | 14,033                       | 107                                 |
| EXPENDITURES                                                                     |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| Current:                                                                         |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| General government                                                               | 15,930                    | 10,519                            |                                   |                            |            | 24,092                    | 14,900                 |                              |                                     |
| Law enforcement                                                                  |                           |                                   |                                   | 8,059                      |            |                           |                        | 3,775                        |                                     |
| Public safety                                                                    |                           |                                   | 4,969                             |                            |            |                           |                        |                              | 19,389                              |
| Recreation and culture                                                           |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| TOTAL EXPENDITURES                                                               | 15,930                    | 10,519                            | 4,969                             | 8,059                      |            | 24,092                    | 14,900                 | 3,775                        | 19,389                              |
| EXCESS OF REVENUES OVER (UNDER)<br>EXPENDITURES                                  | 709                       | (6,953)                           | (4,926)                           | 65,895                     |            | 17,460                    | (1,683)                | 10,258                       | (19,282)                            |
| OTHER FINANCING SOURCES (USES)                                                   |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| Transfers out                                                                    |                           |                                   |                                   |                            |            |                           |                        |                              |                                     |
| EXCESS OF REVENUES AND OTHER SOURCES OVER<br>(UNDER) EXPENDITURES AND OTHER USES | 709                       | (6,953)                           | (4,926)                           | 65,895                     |            | 17,460                    | (1,683)                | 10,258                       | (19,282)                            |
| FUND BALANCES - JANUARY 1, AS PREVIOUSLY REPORTED                                | 14,423                    | 35,961                            | 4,926                             | 64,708                     | \$ 788,738 | 178,214                   | 13,620                 | 18,534                       | 19,282                              |
| Restatement adjustment                                                           |                           |                                   |                                   |                            | (788,738)  |                           |                        |                              |                                     |
| FUND BALANCES - JANUARY 1, AS RESTATED                                           | 14,423                    | 35,961                            | 4,926                             | 64,708                     | 0          | 178,214                   | 13,620                 | 18,534                       | 19,282                              |
| FUND BALANCES - DECEMBER 31                                                      | \$ 15,132                 | \$ 29,008                         | \$ 0                              | \$ 130,603                 | \$ 0       | \$ 195,674                | \$ 11,937              | \$ 28,792                    | \$ 0                                |

CLARK COUNTY, ARKANSAS  
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -  
REGULATORY BASIS  
FOR THE YEAR ENDED DECEMBER 31, 2011

Schedule 2

|                                                                                  | SPECIAL REVENUE FUNDS       |                     |                                                                              |                     |                      |                          | CAPITAL<br>PROJECTS<br>FUND                |                      |
|----------------------------------------------------------------------------------|-----------------------------|---------------------|------------------------------------------------------------------------------|---------------------|----------------------|--------------------------|--------------------------------------------|----------------------|
|                                                                                  | Circuit Court<br>Automation | Jail<br>Maintenance | Danfoss Arkansas<br>Community and<br>Economic<br>Development<br>(ACED) Grant | Drug<br>Enforcement | H & P Sales<br>Grant | County Public<br>Library | Communication<br>Facility and<br>Equipment | Jail<br>Construction |
|                                                                                  |                             |                     |                                                                              |                     |                      |                          |                                            | Totals               |
| REVENUES                                                                         |                             |                     |                                                                              |                     |                      |                          |                                            |                      |
| State aid                                                                        |                             | \$ 30,339           |                                                                              |                     |                      | \$ 32,053                |                                            | \$ 69,039            |
| Federal aid                                                                      |                             |                     | \$ 306,686                                                                   |                     |                      |                          |                                            | 592,828              |
| Property taxes                                                                   |                             | 225,207             |                                                                              |                     |                      | 218,892                  |                                            | 444,099              |
| Fines, forfeitures, and costs                                                    |                             |                     |                                                                              |                     |                      |                          |                                            | 174,302              |
| Interest                                                                         | \$ 296                      | 8,777               |                                                                              |                     |                      | 3,052                    | \$ 32                                      | \$ 4,739             |
| Officers' fees                                                                   | 4,435                       |                     |                                                                              |                     |                      |                          | 4,541                                      | 147,434              |
| 911 surcharges                                                                   |                             |                     |                                                                              |                     |                      |                          |                                            | 207,074              |
| Treasurer's commission                                                           |                             |                     |                                                                              |                     |                      |                          |                                            | 16,529               |
| Collector's commission                                                           |                             |                     |                                                                              |                     |                      |                          |                                            | 39,905               |
| Other                                                                            |                             | 3,619               |                                                                              |                     |                      | 2,856                    | 8,468                                      | 39,974               |
| TOTAL REVENUES                                                                   | 4,731                       | 267,942             | 306,686                                                                      |                     |                      | 256,853                  | 13,041                                     | 4,739                |
| Less: Treasurer's commission                                                     | 70                          | 3,988               |                                                                              |                     |                      | 3,815                    |                                            |                      |
| NET REVENUES                                                                     | 4,661                       | 263,954             | 306,686                                                                      |                     |                      | 253,038                  | 13,041                                     | 4,739                |
| EXPENDITURES                                                                     |                             |                     |                                                                              |                     |                      |                          |                                            |                      |
| Current:                                                                         |                             |                     |                                                                              |                     |                      |                          |                                            |                      |
| General government                                                               | 5,025                       |                     | 306,686                                                                      |                     |                      |                          |                                            | 697,679              |
| Law enforcement                                                                  |                             | 376,371             |                                                                              |                     |                      |                          | 13,951                                     | 535,544              |
| Public safety                                                                    |                             |                     |                                                                              |                     |                      |                          |                                            | 199,886              |
| Recreation and culture                                                           |                             |                     |                                                                              |                     |                      | 265,649                  |                                            | 274,890              |
| TOTAL EXPENDITURES                                                               | 5,025                       | 376,371             | 306,686                                                                      |                     |                      | 265,649                  | 13,951                                     | 1,707,999            |
| EXCESS OF REVENUES OVER (UNDER)<br>EXPENDITURES                                  | (364)                       | (112,417)           |                                                                              |                     |                      | (12,611)                 | (910)                                      | 4,739                |
| OTHER FINANCING SOURCES (USES)                                                   |                             |                     |                                                                              |                     |                      |                          |                                            |                      |
| Transfers out                                                                    |                             | (20,406)            |                                                                              |                     |                      |                          |                                            |                      |
| EXCESS OF REVENUES AND OTHER SOURCES OVER<br>(UNDER) EXPENDITURES AND OTHER USES | (364)                       | (132,823)           | 0                                                                            |                     |                      | (12,611)                 | (910)                                      | 4,739                |
| FUND BALANCES - JANUARY 1, AS PREVIOUSLY REPORTED                                | 26,246                      | 892,682             |                                                                              | \$ 1,680            | \$ 1                 | 342,676                  | 30,780                                     | 479,416              |
| Restatement adjustment                                                           |                             |                     |                                                                              | (1,680)             |                      |                          |                                            |                      |
| FUND BALANCES - JANUARY 1, AS RESTATED                                           | 26,246                      | 892,682             |                                                                              | 0                   | 1                    | 342,676                  | 30,780                                     | 479,416              |
| FUND BALANCES - DECEMBER 31                                                      | \$ 25,882                   | \$ 759,859          | \$ 0                                                                         | \$ 0                | \$ 1                 | \$ 330,065               | \$ 29,870                                  | \$ 484,155           |

CLARK COUNTY, ARKANSAS  
NOTES TO SCHEDULES 1 AND 2  
DECEMBER 31, 2011

The following funds and descriptions represent all funds reported as other funds in the aggregate.

| <u>Fund Name</u>                                                      | <u>Fund Description</u>                                                                                                                                                                                                                                                           |
|-----------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Office of Emergency Services                                          | Established to receive federal and state aid to be used for occurrence of a major emergency or disaster.                                                                                                                                                                          |
| Clark County Marina                                                   | Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake as required by the Army Corp of Engineers. |
| Indigent Investigator                                                 | Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for defense of indigents.                                                                                                                              |
| Indigent Defense                                                      | Ark. Code Ann. § 14-20-102 established fund to receive funds distributed in accordance with Ark. Code Ann. § 16-10-307 to be used to pay reasonable and necessary costs incurred in the defense and representation of indigent persons.                                           |
| County Recorder's Cost                                                | Ark. Code Ann. § 21-6-306 established fund to receive fees collected by circuit clerks to be used for automated record systems.                                                                                                                                                   |
| Group Living Arkansas Community and Economic Development (ACED) Grant | Clark County Ordinance no. 2011-2 (March 14, 2011) established fund to receive grant money from the Arkansas Community and Economic Development Program.                                                                                                                          |
| Support Collection Cost                                               | Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the Clerk's office.                                                                                                                                                                  |
| Juvenile Probation                                                    | Ark. Code Ann. § 16-13-326 established fund to collect juvenile fees and provide services and supplies to juveniles at the discretion of the Juvenile Division of Circuit Court.                                                                                                  |
| Boating Safety                                                        | Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the county has not established a patrol.                                                                      |
| Breathalyzer                                                          | Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for the acquisition and operation of intoxication detection equipment.                                                                                 |
| District Court Cost                                                   | Ark. Code Ann. § 16-17-126 authorizes District Court filing fees for writs of garnishment and executions to be appropriated for any permissible use in the administration of the District Court.                                                                                  |
| Victim/Witness                                                        | Ark. Code Ann. § 16-21-151 established fund to receive District Court cost levied to be used by Prosecuting Attorney for operating victim/witness program.                                                                                                                        |
| Emergency 911                                                         | Ark. Code Ann. § 12-10-318 established fund to receive fees collected by telephone providers for 911 emergency services.                                                                                                                                                          |
| Sheriff's Drug Control                                                | Ark. Code Ann. § 5-64-505 established fund to receive asset forfeitures resulting from drug offense cases due to arresting agency.                                                                                                                                                |

CLARK COUNTY, ARKANSAS  
NOTES TO SCHEDULES 1 AND 2  
DECEMBER 31, 2011

The following funds and descriptions represent all funds reported as other funds in the aggregate.

| <u>Fund Name</u>              | <u>Fund Description</u>                                                                                                                                                                                                                                                              |
|-------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Disaster Recovery             | Ark. Code Ann. § 12-75-102 established fund to receive federal and state aid to be used for occurrence of a major emergency or disaster.                                                                                                                                             |
| Juvenile Work Supervision     | Fund was established to receive Ross Foundation grant funds for reimbursable expenditures for supervision of juvenile probation program.                                                                                                                                             |
| Treasurer's Automation        | Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated record keeping system.                                                                        |
| Assessor's Amendment no. 79   | Ark. Code Ann. § 26-26-310 provides that one percent of the County's share of surplus funds from the Property Tax Relief Trust Fund be allocated to county assessors for the purpose of administering Arkansas Constitution, Amendment no. 79.                                       |
| Mobile Emergency Operations   | Ark. Code Ann. § 12-75-123 established fund to receive federal and state aid to be used for occurrence of a major emergency or disaster.                                                                                                                                             |
| District Court Jail Fee       | Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a Class A misdemeanor to be used exclusively for the maintenance, operation, and capital expenditures of a county jail or regional detention facility. |
| Sanitation                    | Established to account for sales taxes designated by Clark County Ordinance no. 299 (June 14, 1988) and sanitation fees collected for the operation of the County Sanitation Department. This fund was reclassified as part of the General Fund on January 1, 2011.                  |
| Collector's Automation        | Ark. Code Ann. § 21-6-305 established fund to receive up to ten percent of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.                                                                |
| County Clerk's Cost           | Ark. Code Ann. § 21-6-413 established fund to receive fees collected by county clerks to be used for automated record systems.                                                                                                                                                       |
| District Court Automation     | Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees of 1/2 of \$5 per month on each person to be used for court related technology.                                                                                                               |
| Fire Department Library Grant | Clark County Ordinance no. 2007-12 (September 11, 2007) established fund under Act 1349 of 2001 to receive miscellaneous grants for volunteer and rural fire departments to set up a training facility to be used by Clark County Rural Fire Departments.                            |
| Circuit Court Automation      | Ark. Code Ann. § 16-13-704 established fund to receive 50% of all revenues collected from installment fees by the Circuit Court to be used for court related technology expenditures.                                                                                                |
| Jail Maintenance              | Clark County Ordinance no. 2009-6 (September 14, 2009) established fund to receive revenue collections from general purpose property tax. Expenditures are limited to maintenance of the jail.                                                                                       |

CLARK COUNTY, ARKANSAS  
NOTES TO SCHEDULES 1 AND 2  
DECEMBER 31, 2011

The following funds and descriptions represent all funds reported as other funds in the aggregate.

| <u>Fund Name</u>                                                 | <u>Fund Description</u>                                                                                                                                                                                                                             |
|------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Danfoss Arkansas Community and Economic Development (ACED) Grant | Clark County Ordinance no. 2011-2 (March 14, 2011) established fund to receive grant money from the Arkansas Community and Economic Development Program.                                                                                            |
| Drug Enforcement                                                 | Ark. Code Ann. § 14-21-201 established fund to receive appropriated county funds to be used for direct expenses associated with the investigation of criminal drug laws. This fund was reclassified as part of the General Fund on January 1, 2011. |
| H & P Sales Grant                                                | Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used for construction of a facility for H & P Sales in Clark County.             |
| County Public Library                                            | Ark. Code Ann. § 13-2-404 established fund to account for library property tax millage levied by the Quorum Court.                                                                                                                                  |
| Communication Facility and Equipment                             | Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of Sheriff's fees collected and phone commission funds to be used for communication equipment and repair and to train operations staff.                                       |
| Jail Construction                                                | Clark County Ordinance no. 2005-01 (February 15, 2005) established fund with revenues from the sale of General Revenue promissory notes to be used for the expansion of current jail facilities or construction of a new jail.                      |

Treasurer's accounts consist primarily of commissions and property taxes not yet distributed to the appropriate entities.

Collector's accounts consist primarily of delinquent taxes and online payments not yet distributed to the various taxing units and funds held in protest of taxes.

Sheriff's accounts consist primarily of fees settlement, bond, and inmate trust money.

County Clerk's account consists of trust money awaiting disposition by the applicable court.

Circuit Clerk's accounts consist of trust money and settlements due to Treasurer.

County Judge's account consists of sanitation fees collected but not yet settled with the Treasurer.

CLARK COUNTY, ARKANSAS  
OTHER INFORMATION  
SCHEDULE OF CAPITAL ASSETS  
DECEMBER 31, 2011  
(Unaudited)

Schedule 3

|                          | December 31,<br>2011 |
|--------------------------|----------------------|
| Land                     | \$ 523,084           |
| Buildings                | 6,538,308            |
| Construction in progress | 131,434              |
| Equipment                | <u>7,726,327</u>     |
| Total                    | <u>\$ 14,919,153</u> |

CLARK COUNTY, ARKANSAS  
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - REGULATORY BASIS  
DECEMBER 31, 2011  
(Unaudited)

Schedule 4

| <b><u>General</u></b>                      | <u>2011</u>  | <u>2010</u>  | <u>2009</u>  | <u>2008</u>  | <u>2007</u>  |
|--------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| Total Assets                               | \$ 2,449,768 | \$ 1,367,377 | \$ 1,557,020 | \$ 1,857,749 | \$ 1,547,063 |
| Total Liabilities                          | 103,946      | 49,583       | 106,837      | 158,930      |              |
| Total Fund Balances                        | 2,345,822    | 1,317,794    | 1,450,183    | 1,698,819    | 1,547,063    |
| Net Revenues                               | 4,520,284    | 3,820,661    | 3,870,831    | 3,899,885    | 3,794,790    |
| Total Expenditures                         | 4,303,994    | 3,954,212    | 4,164,683    | 4,110,205    | 3,786,728    |
| Total Other Financing Sources/Uses         | 21,320       | 1,162        | 45,216       | 82,644       | 23,907       |
| <b><u>Road</u></b>                         |              |              |              |              |              |
| Total Assets                               | \$ 3,823,716 | \$ 3,865,134 | \$ 3,496,964 | \$ 3,223,104 | \$ 3,104,421 |
| Total Liabilities                          | 57,775       | 60,657       | 133,802      | 12,751       |              |
| Total Fund Balances                        | 3,765,941    | 3,804,477    | 3,363,162    | 3,210,353    | 3,104,421    |
| Net Revenues                               | 2,667,347    | 2,965,520    | 2,737,528    | 2,836,732    | 2,577,870    |
| Total Expenditures                         | 2,705,883    | 2,524,205    | 2,584,719    | 2,871,768    | 2,417,376    |
| Total Other Financing Sources/Uses         |              |              |              |              |              |
| <b><u>Other Funds in the Aggregate</u></b> |              |              |              |              |              |
| Total Assets                               | \$ 4,379,908 | \$ 4,947,443 | \$ 4,825,202 | \$ 4,563,186 | \$ 4,872,958 |
| Total Liabilities                          | 1,053,510    | 858,338      | 1,145,149    | 1,112,841    | 1,035,874    |
| Total Fund Balances                        | 3,326,398    | 4,089,105    | 3,680,053    | 3,450,345    | 3,837,084    |
| Net Revenues                               | 1,749,619    | 2,129,710    | 1,980,400    | 3,746,207    | 2,450,591    |
| Total Expenditures                         | 1,707,999    | 1,719,496    | 1,705,476    | 4,115,168    | 2,189,003    |
| Total Other Financing Sources/Uses         | (21,320)     | (1,162)      | (45,216)     | (82,644)     | (23,907)     |

The financial statements are prepared on the regulatory basis of accounting as reported in Note 1(C) of the audit reports.